

Political & Economic Thought — Master Notes

by Jakob V. Stangel

One running document for the whole course, organised **by week**. Format per reading: **Résumé** → ★
Heart of it → **Key concepts** → **Section-by-section** → **Cases** → **Key terms** → **Exam pointers**.

Overview — where everything is

(Everything below is clickable — jump straight to a week, reading, case, or fun-facts box.)

- [Week 36: Plato & Aristotle; what "history of economics" means](#) — ★ [Lecture 1 \(BAP/JL\)](#) · [Reeve: Plato](#) · [McClelland: Aristotle](#) · [Galbraith intro](#) · ★ [Reading questions \(answered\)](#) · ★ [Fun facts](#)

Week 36

Readings: Reeve on **Plato** · McClelland on **Aristotle** · Galbraith intro (pp. 1–8)

Theme of the week: the two founders of Western political thought — **Plato** (the ideal state built on knowledge of the Good) and **Aristotle** (the empirical, "natural" study of the *polis*) — paired with Galbraith's framing of *how to read the history of economic ideas* (ideas as products of their time). Plato gives the **normative/idealist** pole, Aristotle the **empirical/naturalist** pole; both anchor every later debate.

★ **The red thread** — each text in **ONE idea** (keep these three in view; all the detail below hangs off them):

- **Reeve → Plato:** rule belongs to those who **KNOW the Good** — politics is *derived from metaphysics* (the philosopher-king in the kallipolis).
- **McClelland → Aristotle:** the **polis is natural**, studied **empirically** — judge every constitution by **whose interest it serves** (good vs corrupt; **politeia** = the best *practicable*).
- **Galbraith:** economic ideas are **products of their own time and place** — read ideas against the world that made them.

★ Lecture 1 (BAP/JL) — The roots of political philosophy

The lecture (**Benjamin Ask Popp-Madsen** · **Joachim Lund**) frames the whole field, then walks the ancient arc **Greece → Rome → early Christianity**. The readings below give the Plato/Aristotle/economics detail; this section adds the lecture's **framing** and the **Roman/Christian** material it covers beyond the readings. (Course/exam: written sit-in on CBS computers, Jan 2027; 7-step scale; two internal examiners.)

| What is Political & Economic Thought? — theory vs. ideology

Core: both **theory** and **ideology** are "frameworks of explanation," but theory *aims at objectivity* (a **positive**, not normative, starting point — though never value-free), while ideology is openly **normative** — a programme for action.

- **Ideology** (Heywood): a coherent set of ideas grounding organised political action — it ① describes the existing order (a "world-view"), ② pictures a "good society," ③ says how to get from ①→②.
- **Theory:** rigorous concepts + logic aiming at some **objectivity**; a relatively rigorous (not strictly scientific) form of knowledge.
- So both sit on a **continuum between science and ideology** / positive vs normative. (*Watch words like "right" and "just" — they sound like theory but smuggle in norms.*)

| Why study the history of ideas? — do ideas change the world?

Core: the course's central puzzle — do **ideas** move history, or do **material interests**?

- **Hegel:** "Philosophy comes too late to teach the world what it should be." • **Marx:** "philosophers have only *interpreted* the world; the point is to *change* it." • **Weber:** interests govern conduct, but the "world-images" created by ideas act like **switchmen** on the tracks. • **Gramsci** (*cultural hegemony*): the dominant ideas decide how socio-economic structures *can* be changed.

| Three kinds of social theory

- **Political theory** — the **authoritative distribution of scarce resources** / the monopoly of violence.
- **Sociological theory** — human behaviour in and between groups.
- **Economic theory** — the **creation & distribution of wealth** (→ close to politics at the macro level, to sociology at the micro level).

| Ancient Greece — the polis (context)

Core: the setting is the **polis** — the small, self-governing city-state — at its height ~500–400 BC, then eclipsed by Macedonian empire from **338 BC**.

- ~1,500 Greek city-states; typically 500–2,000 free adult male citizens each; **Athens** ~40,000 citizens (~200,000 total incl. women, children, slaves, metics).
- Democracy's arc: **Solon (594 BC)** & **Cleisthenes (508 BC)** extend citizenship → **Persian Wars** → **Peloponnesian War (431–404 BC, Athens defeated)** → **338 BC** Philip of Macedon ends Athenian democracy → **322 BC** Athens no longer independent (Aristotle dies that year).

| Plato & Aristotle — the lecture's framing

(Full detail in the Reeve and McClelland notes; here are the lecture's sharp contrasts.)

- **Plato** (427–347 BC): scarred by Athens' defeat (404) and **Socrates' execution (399)** → *unimpressed by democracy*. The kallipolis realises the Good; 3 soul-parts / 3 classes (producers = money-lovers • guardians = honour-lovers • philosopher-rulers = wisdom-lovers = "aristocracy").

- **Aristotle** (384–322 BC): a **foreigner (metic)** in Athens; **empiricist** — studied **150+ constitutions**; aims at **eudaimonia** (the good life); "identify those aspects of political life which operate **as nature intended**." Natural law reflected in human law; **natural pairs** (master–slave, husband–wife, father–child, ruler–ruled); some are "slaves by nature."
- **Aristotle's constitutions** — *in whose interest?* (the good/corrupt test):

Rule by...	Common interest (just)	Rulers' interest (corrupt)
One	Monarchy	Tyranny
A few	Aristocracy	Oligarchy
Many	Politeia	Democracy

- **Plato vs Aristotle in one line:** Plato asks "*which men are most able to govern?*" (from assumptions about human nature → rule by **sophia/wisdom**); Aristotle asks "*what would it take to be a good ruler?*" (from observation → **phronesis/practical wisdom**, plus **taking turns, accountability, legitimacy**). Aristotle distrusts rule by pure *sophia*.

Politeia — Aristotle's best *practicable* constitution

Core: *politeia* (polity) = the good, common-interest form of rule by the many, and Aristotle's **best constitution actually achievable** for ordinary cities (a perfectly-virtuous monarch or aristocracy being rare). It is his real answer to "*who should rule?*"

- A "mixed" constitution: it **blends democracy and oligarchy** and rests on a strong **middle class**, which makes it **stable** — the middle moderates between rich and poor, so neither extreme captures the state.
- **Its three principles** (the lecture's framing):
 - **Phronesis over sophia** — good rule needs **practical wisdom from experience**, not abstract wisdom alone (Aristotle's implicit critique of Plato's philosopher-king).
 - **Taking turns → accountability** — citizens rule *and are ruled* in turn.
 - **Everyone shares in lawmaking → legitimacy**.
- **Vs Plato:** Plato — "*which men are most able to govern?*" → rule by the knowing few (**sophia**). Aristotle — "*what makes a good ruler?*" → **shared, accountable** rule by the many (**phronesis**). **Politeia is Aristotle's real-world answer to "who should rule."**
- **Terminology watch:** *politeia* also means "**constitution**" in general (and gives us the word "politics") — here it names the *specific* good form of majority rule (the just counterpart of **democracy**, which for Aristotle is the *corrupt* form).

Rome — republic, law & clientelism

Core: Rome adds the **mixed constitution** and the rule of law — but on a **weak civil state** riddled with **clientelism**.

- **Polybius & Cicero:** Republican Rome was best because it **mixed** monarchy (two **consuls**), aristocracy (the **Senate**) and democracy (the **People's Assembly** / **tribunes**).

- **Rule of law:** Cicero brings **Natural Law** ("the true law of reason according to Nature") to Rome; expressed in **ius gentium** (law of peoples) & **ius civile** (law of citizens). Roman law = codified **protection of life & property** from government abuse; introduces **contracts & corporations**. But a **weak state** (no police, no public prosecutor — only the wealthy could bring a case) → power rested on the **strongest army** and on **clientelism** (patron–client bonds of power, dependency & obligation — *not* rights).
- Arc: kingdom (753 BC) → **Republic (509–49 BC)** → Caesar assassinated (44 BC) → **Augustus**, first emperor (27 BC); **Caracalla (AD 212)** grants citizenship to all free men.

From Stoicism to Christianity

Core: the **Stoics** universalise natural law — everyone is born with equal **logos** (reason) — the first hint that **all are in principle equal**, later carried into Christianity.

- **Stoicism:** equal *logos* → slavery & the suppression of women are *unnatural*; **Seneca:** a citizen may be legally free yet morally a slave — seek **spiritual** freedom. Transferred to Christianity: freedom = **submission to faith**; all equal **in God's eyes** (created in His image).
- **Augustine (354–430): two states** (God's and Man's); Natural Law = Divine Law; true freedom only in Paradise; slavery = God's punishment for sin.
- **Aquinas (1224–74):** peace & God's **Cosmopolis**; man submits to divine authority (God & pope); a **moral economy**.

Ancient economic thinking

Core: economics = **household (*oikos*)** management on land & slavery; **trade is inferior/"unnatural,"** and **usury (money-lending)** is immoral.

- **Xenophon's *Oikonomikos*:** wealth from good **estate management**. Exchange was **hierarchical**, only partly market-based; distribution via **gifts, plunder, tribute, prizes, local markets**.
- **Just prices vs artificial prices;** money-lending = **usury** = immoral. Ideal: "*rich enough to pursue virtue*" (Greeks: no excess; Romans: wealth = responsibility). (*This is where Galbraith's & Backhouse's "ancient world" economics begins.*)

Greek & Roman terms we still use

- **Greek:** *politeia* (affairs of the city) → **politics** · *monos+archo* → **monarchy** · *aristos+kratos* → **aristocracy** · *demos+kratos* → **democracy** · *tyrannos* → **tyranny** · *oikos+nemein* (household + manage) → **economy**.
- **Latin:** *res publica* → **republic** · *imperium* → **empire** · *dictator* → **dictatorship** · *civitas* → **citizen/city** · *populus* → **people/populism** · **constitution** (how things are constituted).

Take-away — ancient political philosophy

- It debated **natural law vs the laws of the state**; reflected on **justice, rule of law, and forms of constitution/government**; and weighed **duty to the family (*oikos*)** against **duty to the polis** and religion → the enduring question of **individual freedom vs. obligation to society**.
-

Reeve — 'Plato'

In: David Boucher & Paul Kelly (eds), *Political Thinkers* (2003), **ch. 4**, by **C.D.C. Reeve** (pp. 55–72). Main text: Plato, *Republic*.

Chapter résumé

An analytic tour of Plato's political philosophy, built almost entirely on the **Republic**. Reeve shows how Plato's **metaphysics** (the Theory of **Forms**, crowned by the **Form of the Good**) grounds his **politics**: since only the philosopher *knows* the Good, only the philosopher-king should rule. He walks through the ideal city (kallipolis): its origin in the division of labour, its tripartite structure mirroring the tripartite soul, and **justice** as everyone "doing their own" job. He then confronts the notorious features — the **noble lie**, abolition of family and property for the guardians, equality of women, eugenics, exposure of infants, slavery, and **censorship of art** — before ending on the clash with modern **liberal freedom**: Plato restricts liberty because he aims at citizens' *real* good, which (he thinks) requires being ruled by knowledge.

★ **The heart of the chapter:** Plato's politics falls straight out of his **metaphysics** — because only the philosopher *knows* the Form of the Good, only the **philosopher-king** should rule; and **justice** = each class doing its own job in the kallipolis.

Key concepts / "modes" to use

- **Theory of Forms & the Form of the Good** (the "good-itself") — the metaphysical foundation.
- Philosopher-king — rule belongs to those who *know* the Good.
- Tripartite soul / city: appetitive → producers (money-lovers); spirited → guardians/auxiliaries (honour-lovers); rational → rulers (wisdom-lovers).
- **Justice = specialization** ("doing one's own work"), the principle that structures the whole city.
- **Sun / Line / Cave** analogies — how we know the Good.
- **The three cities**: City-1 (healthy/"true"), City-2 (luxurious/"feverish"), City-3 (purified = kallipolis).
- **Genuine lie vs verbal lie** (the "noble lie" / myth of the metals).

Section-by-section main points

Biography & framing

- Plato c. 429–347 BC, from a leading aristocratic Athenian family (related to Solon; brothers **Glaucon & Adeimantus** appear in the *Republic*). Founded the **Academy**. The **execution of Socrates (399 BC)** turned him away from a political career toward philosophy.
- **Key texts**: the *Republic* is central; Plato's dialogues are grouped into four chronological sets (early/Socratic → late).

An overview of the *Republic*

- **Book 1** — Thrasymachus: "justice is the **interest of the stronger**." Socrates' refutation (*elenchus*) is inadequate; **Glaucon & Adeimantus** renew the challenge, demanding justice be shown **intrinsically** (not just instrumentally) good.
- Plato's answer: the just city ruled by **philosopher-kings** who possess **knowledge of the Form of the Good** (not mere opinion). Political rule should go to those *best fitted by knowledge*.
- The city's three classes are produced by **eugenics + the "noble lie"**. Guardians live under a form of **communism** (no private property or family) so that no private interest competes with the city's good. **Censorship** shapes character.
- **Justice** = each person/class performing the **one social role** they are naturally best fitted for.

Forms and the good-itself

- Discussion of poetry (Books 2–3) leads to **Forms** as eternal **patterns/blueprints** (of virtues, of a good city).
- **Sun analogy**: the **Good** is to the intelligible realm what the sun is to the visible — the source both of things' **being** and of their **knowability**. Rational order = goodness = intelligibility.
- Knowing the **good-itself** is what lets the philosopher make the kallipolis genuinely good (it is the "cause" of a thing's good order).

The structure of the *kallipolis*

- The ideal city is developed in three stages: **City-1** (the healthy "true" city), **City-2** (the luxurious/"feverish" city, once appetites expand), **City-3** (the purified city = kallipolis).
- The kallipolis is a **real possibility**, not an idle utopia — but only if **philosopher-kings** rule.

Specialization

- **Principle of specialization / unique-aptitude doctrine**: each does the single job their nature suits them for. This is the foundation of **justice**.
- Reeve notes Plato really relies on **quasi-specialization** — three broad natural types (money-lovers, honour-lovers, wisdom-lovers), not a unique craft per person.

The lies of the rulers

- **Genuine ("true") lie** = a false belief in the soul about the most important things — *always* bad.
- **Verbal lie** = words that mislead — can be a useful "**medicine**," legitimately used by rulers (like the myth of the metals) for the city's good.
- Only the **philosopher-kings**, who *know* the good, are entitled to deploy such lies.

Private life and private property

- Guardians have **no private property and no private family** — a "communism" of the ruling classes — to remove competing private interests.

- **Women guardians** are trained and rule alongside men: the principle of specialization applies to individuals regardless of sex (though child-bearing is noted). Plato is **not a feminist**, but the implication is radical for its time.
- Reproduction managed by a rigged lottery / community of wives & children (a eugenics programme).

Invalids, infants, slaves

- **Medicine** should restore people to a worthwhile life, **not prolong** lives too ill to function; deformed **infants** are (controversially) exposed — Reeve flags this as debated.
- **Slavery**: the kallipolis probably contains slaves (barbarian, not Greek), but Plato's position is ambiguous and less central than Aristotle's.

Censorship of the arts

- Poetry and art are **censored** because they misrepresent gods and virtue, feed the **appetitive** (not rational) part of the soul, and weaken character. Art must **serve education**. This is Plato's famous **quarrel with poetry**.

Freedom and autonomy

- Modern **liberal** objection: the kallipolis crushes individual freedom.
- Reeve's reconstruction of Plato's reply: distinguish a person's **real interests** (what truly fulfils their nature → real happiness) from mere **desires**. Liberal **instrumental/negative freedom** (satisfy whatever desires you happen to have) may not serve real interests; **deliberative freedom** requires the right education and knowledge.
- Because the kallipolis aims at citizens' **real good**, Plato claims it delivers *more* real freedom (fulfilment) even while restricting license. Liberal **neutrality among conceptions of the good** is itself a contestable value.

Cases & examples

Plato argues through **thought-experiments and images**, not country cases — but you're expected to know these cold, so here's *what each one actually says*.

- **Thrasymachus's challenge (Book 1)**. The sophist Thrasymachus asserts that "**justice is the interest of the stronger**" — rulers simply make laws that serve themselves and call it "just." Socrates' on-the-spot refutation (the *elenchus*) is weak, so **Glaucón and Adeimantus** re-pose the challenge: show that justice is good **in itself**, not just for its rewards. → *Sets up the entire argument of the Republic* — everything after is Plato's answer.
- **The three cities**. Plato builds the ideal city in stages: **City-1**, the "healthy"/"true" city of simple needs; **City-2**, the "luxurious"/"feverish" city once appetites and luxuries balloon (now it needs a guardian/soldier class); and **City-3**, the **purified city** — the kallipolis — once reason (the philosopher-kings) governs the whole. → *Shows the kallipolis is reached by purifying a realistic city, not conjured from nothing.*

- **The Sun analogy.** Just as the sun both lets us **see** objects and makes them **grow**, the **Form of the Good** makes the other Forms both **knowable** and gives them their very **being**. → *Illustrates why the Good is the highest object of knowledge and the source of the city's goodness — the metaphysical root of rule by philosophers.*
- **The Allegory of the Cave.** Prisoners chained facing a wall take flickering **shadows** for reality; one is freed, dazzled by the sunlight, and slowly comes to see real things and finally the sun itself. → *Illustrates education as turning the soul from appearances toward the Good — and why the enlightened philosopher must (reluctantly) go back down to rule.*
- **The myth of the metals (the noble lie).** Citizens are told a "needful" story: that god mixed **gold** into the rulers, **silver** into the auxiliaries, and **bronze/iron** into the producers at birth. → *Illustrates the "lies of the rulers" — a verbal lie used to legitimate the class structure and secure loyalty to the city.*
- **The rigged marriage lottery.** Guardian reproduction is arranged by a lottery that is secretly **fixed** so the "best" breed with the "best," while the couples believe the pairing was pure chance. → *Illustrates Plato's eugenics and the abolition of the private family among the guardians.*

Key terms

Term	Meaning
Form / Theory of Forms	Eternal, intelligible patterns; the true objects of knowledge
Form of the Good (good-itself)	Highest Form; source of being & knowability (Sun analogy)
Philosopher-king	Ruler who <i>knows</i> the Good; only they should rule
Tripartite soul	Rational / spirited / appetitive parts
Three classes	Rulers (wisdom) / guardians-auxiliaries (honour) / producers (money)
Justice	Each part/class doing its own proper work (specialization)
Kallipolis	Plato's ideal ("beautiful") city
Noble lie / myth of the metals	Verbal lie used to legitimate the class structure
Genuine vs verbal lie	False belief in the soul (always bad) vs misleading words (can be useful)
Real interests vs desires	What truly fulfils us vs what we happen to want

Exam pointers

- Be able to trace the **metaphysics** → **politics** move: Form of the Good → philosopher-king → kallipolis.
 - Know the **soul** ↔ **city** parallel and **justice** = **specialization** cold.
 - Distinguish **genuine vs verbal lie** and explain why the noble lie is (for Plato) permissible.
 - Be ready to state Plato's **anti-liberal** account of freedom (real interests vs desires).
-

McClelland — Aristotle

Book: J.S. McClelland, *A History of Western Political Thought* (1996), pp. 52–68 (chapter section "Aristotle and the Science of Politics", in Part "The Greeks").

Chapter résumé

McClelland presents Aristotle as the **empirical, scientific** counterpart to Plato. After a biographical sketch (the Macedonian connection, the Lyceum), he tackles the textual "**problem**" — the *Politics* is a jumbled, probably lecture-derived text (Jaeger's developmental thesis). His central claim: Aristotle's political science is **empirical in the way his biology is** — it studies the *polis* as a natural organism, takes **received opinion** seriously, and asks what **nature intends**. The reading then maps the eight books of the *Politics*, and develops two big Aristotelian doctrines: the **naturalness of rulership** (natural hierarchies, the household, slavery) and the **naturalness of the polis** (man as a *political animal*, the *polis* as the *telos* of human community, and the classification of constitutions).

★ **The heart of the chapter:** Aristotle studies politics **empirically, like biology** — the **polis exists by nature** (man is a political animal), and regimes are judged **good vs. corrupt** by whether they serve the **common interest** (the six-fold classification of constitutions).

Key concepts / "modes" to use

- **Teleology** — everything has an *end* (*telos*); "nature does nothing in vain."
- **Empirical method** — study politics like biology; give **received opinion** (*endoxa*) a hearing.
- **Naturalness of the polis** — man is by nature a **political animal**; the *polis* exists by nature and is **prior** to the individual.
- **Natural rulership** — some rule / some are ruled by nature (master–slave, husband–wife, parent–child).
- **Classification of constitutions** — 3 good vs 3 corrupt forms.
- **Phronesis** (practical wisdom) vs **sophia** (theoretical wisdom); rule of law vs rule of men.

Section-by-section main points

Biography

- Born **384 BC in Stageira** (Macedonian Thrace); father was court physician to the Macedonian king. Studied ~20 years at **Plato's Academy**. Tutored the young **Alexander the Great**. Founded his own school, the **Lyceum** (covered walk = *peripatos* → "**Peripatetics**"), with a vast curriculum — "the first real university." Left Athens twice amid **anti-Macedonian** feeling; died at **Chalcis, 322 BC**.

The Problem of Aristotle's *Politics*

- Aristotle was Plato's pupil but **broke away**; the *Politics* is famously **disorganised** — possibly a compilation of **lecture notes**.

- **Jaeger's thesis:** distinguish the "**Original Politics**" (Books 2, 3, 7, 8 — Platonic, about the ideal/best state) from the truly "**Aristotelian Politics**" (Books 4, 5, 6 — empirical), with **Book 1** written last as a general introduction.
- Aristotle's political science is **empirical like his biology**: study how politics actually works, and give **common/received opinion** ("even the mistakes of the past can be instructive") a sympathetic hearing.
- "**Nature does nothing without a purpose.**" Political science is **useful**: identify what nature *intends* and amend what frustrates it — Aristotle is **not** merely the theorist of the second-best.

| A Map of the *Politics*

- **Book 1** — the *polis* exists by nature (against the Sophist "convention only" view); defence of natural slavery; the household & the acquisition of wealth (original meaning of "**economics**"); natural rule based on possession of **reason**.
- **Book 2** — ideal communities; critique of **Plato's Republic** (community of wives/children, property); property best held **privately but used in common**.
- **Book 3** — definitions: *What is the polis?* = its **constitution**; *What is a citizen?* (one who shares in office/justice); the **classification of constitutions** — three **good** forms (**monarchy, aristocracy, politeia**) and their **corrupt** counterparts (**tyranny, oligarchy, democracy**); on kingship.
- **Books 4, 5, 6** — the **empirical heart**: the **morphology and pathology** of states; five key questions (how many kinds of constitution; which is best in normal circumstances; which suits which population; how to organise them; **how constitutions are preserved and destroyed**). **Book 5** = political **pathology and preventive medicine** (causes of revolution; how regimes are preserved — obedience to law).
- **Books 7, 8** — "Platonic": Aristotle on the **best state** (ideal population size, territory, and **education**).

| The Naturalness of Rulership

- Aristotle's **teleological biology** drives the politics. Some things naturally **rule**, others are naturally **ruled**; the natural pairs are **master–slave, husband–wife, father–children**, combining into the **household**, then village, then *polis*.
- **Ends**: the *polis* is the *end* toward which lesser communities develop — "prior" in the sense of **completion**, not in time (the acorn/oak analogy).
- **Slavery**: the "natural slave" lacks the **deliberative/directive faculty** (reason); the master's intelligence directs him, as mind directs body. But Aristotle is **uneasy/embarrassed** — he concedes many actual slaves are enslaved by mere **convention/conquest** (the Sophist objection), so his defence is **weak** and applies only to a hypothetical "natural" slave.
- **Kingship** = rule of **intelligence over desire**, like soul over body; legitimate if the king rules in the interest of all.

| The Naturalness of the *Polis*

- **Phronesis** (practical wisdom for contingent human affairs) is distinct from **sophia** (theoretical wisdom); politics needs *phronesis*.

- The **polis exists by nature** as the *telos* of household → village → polis; **man is by nature a political animal**; the *polis* is **prior to the individual** (only in it can we live the "good life," not mere life).
- Rule of law vs rule of men: law should be supreme **in general**, with men deciding **particular** cases law can't foresee.
- Constitutions judged by whether rulers serve the **common interest** (good) or their **own** (corrupt); Aristotle allows that the **"many," collectively**, may be wiser than the few.

Notes on Sources (p. 68) — reading recommendations (Penguin *Politics*; Jaeger; Barker; Ross; MacIntyre's *After Virtue*).

Cases & examples

Aristotle reasons from **analogies and a classification scheme** — know these in semi-depth.

- **The six-fold classification of constitutions.** Aristotle sorts every regime along two axes — *who rules* (one / few / many) × *in whose interest* (the **common good** = correct; the **rulers' own** = corrupt): **monarchy → tyranny** (one), **aristocracy → oligarchy** (few), **polity (*politeia*) → democracy** (many). → *The core exam item*: a regime is "good" when it serves the common interest, "corrupt" when rulers serve themselves; note "democracy" is the *corrupt* form of majority rule (its good form is *politeia*).
- **The acorn and the oak (teleology).** As an acorn's *end* (*telos*) is to become an oak, the *end* of human association is the **polis**. So the polis is "prior" to the household and village not in *time* but as their **completion**. → *Illustrates why the polis is "natural" and why studying it means asking what it is for*.
- **Household → village → polis.** The natural pairs (**master–slave, husband–wife, parent–child**) form the **household** (*oikos*); households cluster into the **village**; villages combine into the self-sufficient **polis**, where the "good life" — not mere survival — first becomes possible. → *Illustrates the naturalness of the polis and the claim that man is by nature a political animal*.
- **The natural slave.** Aristotle claims some people are "slaves by nature": lacking the **deliberative faculty**, they are rightly directed by a master's reason, as the body is by the mind. But he immediately concedes that many *actual* slaves were enslaved only by **conquest or convention** (the Sophist objection) — so his own defence comes out **uneasy and weak**. → *Illustrates the clash between his tidy teleology and messy observed reality*.

Key terms

Term	Meaning
Telos / teleology	The natural <i>end</i> or purpose of a thing
Political animal (<i>zoon politikon</i>)	Humans are by nature made to live in a <i>polis</i>
Polis prior to the individual	The whole (city) is prior in nature to its parts
Natural slave	One lacking the deliberative faculty (Aristotle's uneasy doctrine)
Household (<i>oikos</i>)	Basic natural unit; root of "economics"
Constitution (<i>politeia</i>)	The arrangement of offices; defines the <i>polis</i>
Good vs corrupt constitutions	Monarchy/aristocracy/polity vs tyranny/oligarchy/democracy
Phronesis / sophia	Practical wisdom / theoretical wisdom
Rule of law	Law supreme in general; men decide particular cases

Exam pointers

- Frame Aristotle as **empirical/naturalist** vs Plato's **idealist** — the key contrast of the week.
- Reproduce the six-fold classification of constitutions (3 good / 3 corrupt) and the good-vs-corrupt test (common vs self-interest).
- Explain **man as political animal** + polis prior to the individual via the *telos* argument.
- Be able to state *and criticise* Aristotle's natural slavery argument (the convention/conquest objection).

Galbraith — 'A Look at the Landscape'

Book: John Kenneth Galbraith, *A History of Economics: The Past as the Present* (1987), **ch. I**, pp. 1–8.

Chapter résumé

Galbraith's opening chapter is a **manifesto for reading economics historically**. His central claim: **economic ideas are always a product of their own time and place**, so they can't be understood apart from the world they interpret — and as that world changes, ideas must **transform or lose relevance**. He explains what his history will and won't do (central ideas over exhaustive detail; heavy focus on the last century's money/banking/trade debates), attacks the vested interest that makes economics resist change, and names the discipline's **two central subjects**: the theory of value (prices) and the theory of distribution (wages, interest, profit, rent). He notes a historical shift of emphasis from **value/prices** toward **distribution** and the aggregate performance of the economy (employment, growth). Finally he defends writing a **critical** (not detached) history and warns against economic **forecasting**.

★ **The heart of the chapter: economic ideas are always a product of their own time and place** — to understand economics you must read its ideas against the world that produced them; when the world changes, the ideas must change too.

Key concepts / "modes" to use

- **History-of-ideas approach** — you cannot understand economics without its history.
- **Ideas as products of time & place** — the book's organising thesis.
- **Theory of value (prices) vs theory of distribution (wages/interest/profit/rent)** — the two great subjects.
- **Shift from scarcity/value to affluence/distribution/aggregate** — how the subject's centre of gravity moved.
- **Vested interest & resistance to change** — why comfortable ideas persist.
- **Limits of forecasting** — economists can't reliably predict.

Section-by-section main points

Why the history matters

- "There can be no understanding of economics without an awareness of its history." Economic ideas' authors owe a huge debt to predecessors; the "controlling ideas" are often lost in the mass of writing.
- **Core thesis:** *economic ideas are always and intimately a product of their own time and place; they cannot be seen apart from the world they interpret.* As the world changes, ideas are **transformed** — or become irrelevant.

What this history will do

- Not merely a history of ideas: he ties ideas to the **events that shaped them**, and emphasises **central ideas** over exhaustive detail — with special attention to the **last century** (intense debate over **banking, money, monetary policy, international trade, tariffs**).
- Change in economics is **resisted** — those who benefit from the *status quo* resist change; established ideas persist because they serve a **vested interest**.
- Two great organising reference points: **Adam Smith** and the modern era (Ricardo, the Industrial Revolution, **Keynes**, the Great Depression). (*In the book, Part I = "before Adam," Ch. II = "After Adam."*)

The two central subjects of economics

- **Theory of value** — what determines **prices** (and the value of goods).
- **Theory of distribution** — how the proceeds are shared: **wages, interest, profit, rent** (returns to labour, capital, land).
- Historically, **prices/value** were the very centre of the subject (esp. 18th c.). In modern, more affluent times, **distribution of income** and the **aggregate performance** of the economy — employment, growth, fluctuations, depressions — have become the more urgent, "most sensitive" questions.

- Beyond value & distribution lie the questions of **institutions** (banks, firms, government) and the larger **political and social framework** (capitalism, the welfare state, socialism/communism) — and when these change, economics undergoes "rather major change."

On method and forecasting

- The history should be told in **clear, agreeable English**, and can legitimately be written for **enjoyment** as well as instruction.
- Galbraith writes a **critical** history (he'll exercise judgment, not feign detachment) — economics is a "theater of avowed and strongly expressed argument."
- **Beware forecasting**: economists cannot reliably predict; the future is unknowable. (Keynes: "*In the long run we are all dead.*") A forecaster who truly *knew* the future would use the knowledge himself, not sell it.
- **Marshall's definition** (quoted): "Political Economy or Economics... is a study of mankind in the ordinary business of life."

Key terms

Term	Meaning
History of economic ideas	Studying economics through the development of its ideas
Ideas as product of time & place	Galbraith's central thesis
Theory of value	What determines prices / the value of goods
Theory of distribution	How income is shared: wages, interest, profit, rent
Aggregate performance	Economy-wide employment, growth, fluctuations
Vested interest	Why comfortable/status-quo ideas resist change
Critical history	History written with judgment, not feigned detachment

Exam pointers

- Nail Galbraith's **thesis** in one line: *economic ideas are products of their time and place; when the world changes, ideas must change too.*
- Know the **value vs distribution** distinction — and the historical **shift** toward distribution and aggregate performance.
- Use the **forecasting** warning (Keynes) and the **vested-interest** point as ready critiques.

Bridge across the week

Plato and Aristotle set the **normative-ideal** vs **empirical-natural** poles of political thought; Galbraith adds the meta-lesson that **all** such ideas — political and economic alike — must be read against the world that produced them. Aristotle's own "economics" (household management, Book 1 of the *Politics*) is a nice link to Galbraith's story of where economic thought *begins*.

★ Reading questions — worked answers

Study answers to Week 36's reading questions (Reeve on **Plato** · McClelland on **Aristotle** · Galbraith).
Each: a one-line **Answer**, then the depth for Plato and Aristotle.

1 · What is the best city/state — for Plato and Aristotle? Why?

Answer: Plato — the kallipolis, *one* ideal city ordered by knowledge of the Good. **Aristotle** — *it depends*: an ideal polis of the "good life," but the best **achievable** is the politeia (a mixed, middle-class constitution).

- **Plato (Reeve)**: the best city is the kallipolis — the purified "City-3" ruled by **philosopher-kings** who know the Form of the Good. It is best because it is ordered by **knowledge, not opinion**: the rational element rules, each class does the one job its nature fits (justice = specialization), and the city mirrors the well-ordered soul. It's a *single* ideal, reachable only by reason.
- **Aristotle (McClelland)**: refuses one blueprint. He separates the **ideal** state (*Politics* Books 7–8 — the "good life," right size/territory, citizens with leisure for virtue) from the **best practicable** — the politeia ("polity"), a "**mixed**" / **middle-class constitution**, because it is the most **stable** (the middle moderates between rich and poor). A regime is *good* when it rules in the **common interest**, and the **many collectively** may be wiser than the few.
- **Why they differ**: Plato the **idealist** derives the best city from the **Forms**; Aristotle the **empiricist** makes "best" plural and fitted to circumstances, and **criticises Plato's *Republic*** (Book 2) for abolishing family/property — which he says destroys natural affection and the household.

2 · Who should rule? Why?

Answer: Plato — the **philosopher-kings** (those who *know* the Good). **Aristotle** — whoever rules **in the common interest**, ideally the **virtuous**, but checked by the rule of law and often the **middle/many**.

- **Plato**: rule goes to those **best fitted by knowledge** — the **philosopher-kings**. Only knowledge of the Good (not opinion) can order the city rightly, just as **reason** should rule the soul. They rule **reluctantly** (they'd rather contemplate but must "return to the Cave") and **in the interest of all**.
- **Aristotle**: on "should **man or law** be supreme?" → **law supreme in general**, men deciding the particular cases law can't foresee. The **good** constitutions (monarchy, aristocracy, politeia) rule for the **common interest**; their corrupt twins (tyranny, oligarchy, democracy) rule for the rulers. A truly **kingly man** of outstanding virtue may rule — but only if for all; otherwise the **collective wisdom of the many** and the middle class are safer.
- **Contrast**: Plato = rule by the **one/few who know**; Aristotle = rule by the **virtuous serving the common good, constrained by law**.

3 · How are freedom and privacy protected in the kallipolis?

Answer: In the modern liberal sense they mostly **aren't** — privacy is *abolished* for the guardians and individual license is heavily restricted. Plato's defence: **true freedom = living by your *real interests***

under the rule of knowledge, and private property/family are competing interests that corrupt the rulers.

- **Privacy is removed, deliberately:** guardians have no private property and no private family (a "communism" of the rulers), plus a rigged marriage lottery, controlled education, and censorship of the arts — all to delete competing private interests so nothing rivals the good of the city.
- **Individual freedom is restricted, not protected:** the noble lie, fixed class roles and censorship constrain what citizens may do, believe and hear.
- **Plato's reply (Reeve, "Freedom and autonomy"):** distinguish **real interests** (what truly fulfils your nature → real happiness) from mere **desires**. Liberal *negative* freedom (do whatever you want) may not serve your real interests; **deliberative freedom** needs knowledge and the right education. So the kallipolis claims to deliver *more* **real** freedom — each person fulfilling their nature — precisely by restricting **license**. Privacy is sacrificed for the **unity** of the city.
- **The lecture's phrasing (BAP):** "*Freedom is preserved, since everybody is made equal and secure by the state and enabled to realize his/her potentials*" — i.e. freedom as **fulfilment**, not license (the same move as Reeve's real-interests defence).
- **Exam framing:** don't answer "freedom is protected." Say: *the kallipolis subordinates privacy and license to the city's unity and the citizens' real good; Plato redefines freedom as fulfilment under the rule of knowledge* — the anti-liberal move.

4 • What is honour? What is virtue?

Answer (the lecture's civic definitions — BAP): **Honour** = the ability & willingness to **defend the city/country against its enemies**. **Virtue** = a sense of **obligation & responsibility toward society**, to keep it from falling apart. Together: **Honour + Virtue** = **protection against anarchy or conquest by others** — and the way to stay in power.

- **Deeper — Plato (the soul):** in the tripartite soul, the **spirited** part seeks **honour, victory, reputation** (its people = the **honour-lovers/guardians**; a city ruled by them = a *timocracy*). Plato's four cardinal virtues map onto the parts — **wisdom** (rulers), **courage** (guardians), **temperance** (agreement on who rules), and **justice** = **each part doing its own work**; virtue is grounded in **knowledge** of the Good.
- **Deeper — Aristotle (the good life):** the polis exists so citizens can live "the good life" (*eudaimonia*) — a life of **virtue** built by **habit** and guided by **phronesis**. Honour is sought as a *sign* of virtue, but virtue is the higher, **intrinsic** end.

5 • What is idealism? What is materialism?

Answer: **Idealism** = reality is grounded in **ideas / forms / mind** (the intelligible is more real than the physical). **Materialism** = reality is grounded in **matter** (the physical/economic base is primary; ideas are derived). Plato is the classic **idealist**; the week's other pole leans **materialist/empirical**.

- **Idealism (Plato):** the truly real is the **Forms** — eternal intelligible patterns; the Form of the Good is the highest reality, and the physical world is a mere **shadow/copy** (the Cave). Knowledge is of Forms, not the changing senses — so rule belongs to those who *know* the Forms.

- **Materialism:** the **material/economic** world is primary; ideas and institutions are shaped by material conditions. The key political-economy example is **Marx's historical materialism** (the economic *base* determines the *superstructure* of ideas).
- **Aristotle sits between:** a **naturalist/empiricist** who studies the *actual* world (the polis as a natural organism, teleology in nature) — a counterweight to Platonic idealism, though not a strict materialist.
- **Galbraith tie-in:** his thesis that **economic ideas are products of their own time and place** is a *materialist* reading of ideas — fitting the week's **idealist (Plato) vs materialist/empirical (Aristotle, Marx, Galbraith)** contrast.
- **The lecture crystallises it (BAP): Ideas (Plato) vs Matter (Aristotle)** — as in **Raphael's School of Athens** (Plato points *up* to the eternal Forms; Aristotle gestures *down/out* toward the observed world).

★ Fun facts & memorable details

The sticky examples, witty asides and quotable lines from this week — great for essays, exam colour, or just remembering who's who.

Aristotle trivia (McClelland is full of it)

- McClelland says Aristotle was "**a snappy dresser**" who "**affected an aristocratic lisp.**"
- The **Lyceum's** covered walk was the *peripatos* — which is exactly why Aristotle's followers are called the **Peripatetics** (the "walking-about" philosophers).
- Aristotle's kinsman **Callisthenes** went east with Alexander to write the campaign history and recite Homer whenever Alexander got drunk and thought he was **Achilles** — possibly planted as **Aristotle's spy**. He was later executed.
- **The banquet at Opis (324 BC):** Alexander reconciled Macedonians and Persians, married **10,000** of his veterans to Asian concubines, and pleaded for *omonoia* (concord between the races). McClelland calls it "*the supremely anti-Aristotelian moment*" — it dissolved the Greek/barbarian distinction Aristotle's reason had so carefully drawn.
- In Aristotle's scheme of kingship, McClelland dryly notes, "*there are no queens.*"
- The word "**economics**" comes from Greek *oikonomikos* — **household management** (*Politics* Book 1).
- The historian **Polybius** later coined "**ochlocracy**" (mob-rule) for Aristotle's corrupt form of "democracy."
- The *Politics* may literally be a **bundle of students' lecture notes** — which is why scholars agree "the book is a mess."

Plato trivia

- Plato came from top-drawer Athenian aristocracy (related to **Solon**); his brothers **Glaucon and Adeimantus** are characters in the *Republic*.
- The **noble lie / myth of the metals:** citizens are told they were born with **gold, silver, or bronze** in their souls, to justify the class system.
- The ideal city runs a **rigged marriage lottery** (eugenics) and gives its guardians **no private property and no family** — a "communism" of the rulers.

- Plato would **expose deformed infants** and refuse to treat the incurably ill: medicine should restore people to a *worthwhile* life, not merely prolong it.
- Plato's three great images for knowing the Good: the **Sun**, the **Divided Line**, and the **Cave**.

Galbraith / economics

- Galbraith's one-line thesis: *"economic ideas are always and intimately a product of their own time and place."*
- **Marshall's** still-quoted definition: economics is *"a study of mankind in the ordinary business of life."*
- The **forecaster's paradox**: anyone who truly knew the economic future would quietly use the knowledge to get rich — not sell it in a newsletter. (*Hence Keynes: "In the long run we are all dead."*)
- Galbraith subtitled his book "**A Critical History**" — he refuses to pose as a detached, dispassionate scientist.